

FINANCIAL INTELLIGENCE COMPLIANCE DIVISION

SUSPICIOUS TRANSACTION REPORT (STR)

CONFIDENTIAL · REGULATORY SUBMISSION DRAFT

Subject Customer ID:	CUS-1011	Report Generated:	2026-09-01 13:46:03 UTC
Subject Name:	Kavita Desai	Adjudication:	■ DRAFT REGULATOR-READY STR (High Risk / Suspicious Pattern Confirmed)
Regulatory Framework:	FIU-IND / FATF PMLA Guidelines	Filing Priority:	High Priority Escalate

SUSPICIOUS TRANSACTION REPORT (STR)

1. REPORT METADATA

* **Subject ID:** CUS-1011

* **Subject Name:** Kavita Desai

* **Filing Classification:** High Priority Suspicious Activity Filing

* **Core Typology:** Layering & Pass-Throughs (Funneling / Money Mule Account Pattern)

* **Filing Institution:** Apex Digital Bank Compliance & Financial Crime Unit

* **Date of Filing:** March 3, 2026

* **Target Authority:** Financial Intelligence Unit (FIU-IND / FinCEN Aligned)

2. EXECUTIVE SUMMARY

This Suspicious Transaction Report (STR) is filed regarding Kavita Desai (CUS-1011) following the detection of a highly anomalous, high-velocity pass-through transaction pattern totaling \$28,500.00 within a compressed 21-hour window. The account, registered to a student with a declared monthly income of \$1,500.00, was utilized to consolidate structured inbound peer-to-peer transfers from five unrelated individuals before immediately routing the consolidated funds to a high-risk commercial shell entity. This rapid "U-turn" velocity and complete lack of legitimate operational activity indicate a coordinated money mule or funnel account scheme designed to obscure the audit trail of illicitly derived funds.

3. SUBJECT & KYC CONTEXT

* **Customer Profile:** Kavita Desai is a registered customer of Apex Digital Bank.

* **Account Age:** 4 months (Opened November 2025).

* **Stated Account Purpose:** "Living Expenses."

* **Occupation:** Student.

* **Declared Monthly Income:** \$1,500.00.

* **Observed Transaction Volume:** \$28,500.00 (Total throughput within a single 21-hour window).

* **Income-to-Volume Discrepancy:** The observed transaction volume represents **1,900% (19 times)** of the customer's declared monthly income.

* **Account Activity Analysis:

During the initial 4-month "seasoning" period, the account exhibited low-volume, dormant-like activity, which is highly characteristic of a recruited money mule account awaiting activation. There is zero correlation between the observed high-velocity transaction pattern and standard student living expenses. The account completely lacks routine operational noise, such as utility payments, grocery purchases, or typical student retail spending, yielding a 0:1 ratio of legitimate operational activity to anomalous activity.

4. CHRONOLOGY OF SUSPICIOUS TRANSACTIONS

The following table details the rapid consolidation and immediate dissipation of funds executed between March 1, 2026, and March 2, 2026:

Transaction Date & Time	Transaction Type	Direction	Counterparty	Amount (USD)	Flag / Anomalous Indicator
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2026-03-01 12:00	Peer Transfer	Inbound	Individual A	\$2,500.00	Structured Inbound (Smurfing)
2026-03-01 14:00	Peer Transfer	Inbound	Individual B	\$2,800.00	Structured Inbound (Smurfing)
2026-03-01 16:00	Peer Transfer	Inbound	Individual C	\$2,600.00	Structured Inbound (Smurfing)
2026-03-01 18:00	Peer Transfer	Inbound	Individual D	\$2,700.00	Structured Inbound (Smurfing)
2026-03-01 20:00	Peer Transfer	Inbound	Individual E	\$2,900.00	Structured Inbound (Smurfing)
2026-03-02 09:00	Wire Transfer	Outbound	Shell Company	-\$15,000.00	Rapid Dissipation / High-Risk Entity
TOTAL INBOUND	**5 Sources** **\$13,500.00** *Consolidated in 8 hours*				
TOTAL OUTBOUND	**1 Destination** **-\$15,000.00** *Swept within 13 hours of last deposit*				
TOTAL THROUGHPUT	**\$28,500.00** *Complete cycle in 21 hours*				

5. TYPOLOGY & REGULATORY GUIDELINES ANALYSIS

The transaction pattern matches the **Layering & Pass-Throughs (Funneling Account Pattern)** typology. This activity directly violates standard customer profiles and aligns with international red flags:

- FATF Recommendation 10 (Customer Due Diligence):** The transaction volume is completely inconsistent with the institution's knowledge of the customer, her business/occupation, and her risk profile.
- FATF Recommendation 16 (Wire Transfers):** The rapid routing of consolidated funds across multiple originators to an offshore or unverified commercial entity indicates an attempt to break the financial chain of custody.
- FIU-IND / Prevention of Money Laundering Act (PMLA) Guidelines:** The account exhibits key indicators of being used as a temporary conduit (pass-through account) with no clear economic rationale or commercial purpose.
- Behavioral Indicators Matched:**

- Structured Smurfing:** The five inbound transfers are highly uniform, ranging strictly between \$2,500.00 and \$2,900.00. This tight clustering just below the \$3,000.00 threshold indicates a deliberate attempt to evade standard record-keeping and Travel Rule reporting triggers.
- Extreme Velocity:** The entire cycle—from the first inbound transfer to the outbound wire sweep—was completed in 21 hours, minimizing the "holding time" of the funds to evade detection.
- High-Risk Counterparty Exposure:** The ultimate beneficiary is a designated "Shell Company," a vehicle frequently used to obscure Ultimate Beneficial Ownership (UBO) and integrate illicit capital into the formal financial system.

6. FALSE-POSITIVE VS TRUE-POSITIVE EVALUATION

A rigorous technical evaluation confirms this alert is a **True Positive** for illicit financial activity based on the following objective factors:

- Arguments for False Positive (Mitigating Factors):**
 - None identified.** There are no offsetting transactions, such as tuition payments, family allowance transfers with clear memo fields, or typical student retail spending, that would suggest a legitimate, albeit unusual, life event.
- Arguments for True Positive (Aggravating Factors):**
 - Complete Absence of Operational Noise:** The account shows a 0:1 ratio of routine operational activity to anomalous activity. Legitimate student accounts do not function solely as clearing mechanisms.
 - Mathematical Precision of Structuring:** The inbound transfers are structured to remain below regulatory thresholds while maximizing throughput.

* **Immediate Depletion:** The outbound wire of \$15,000.00 exceeded the total of the day-prior deposits by \$1,500.00, leaving virtually no residual balance in the account.

* **High-Risk Destination:** Legitimate students do not wire large, consolidated sums of peer-to-peer funds to commercial shell entities.

Verdict: Confirmed True Positive. The account is operating as a classic money mule/funnel account during the layering phase of money laundering.

7. COMPLIANCE OFFICER CONCLUSION & RECOMMENDED ACTIONS

Adjudication

* **Risk Score:** **95 / 100** (Extreme Risk)

* **Confidence Level:** **High**

* **Status:** Approved for STR Filing

The transaction data presents an unambiguous, mathematically precise funneling pattern with zero operational noise or mitigating transactional context. The customer's profile has been compromised or recruited to facilitate illicit financial flows.

Recommended Action Plan

- 1. **Immediate Account Restriction:** Place an immediate, temporary hard freeze on account CUS-1011 to prevent any further inbound or outbound transactions.**
- 2. **File Suspicious Transaction Report (STR):** Submit this report to the Financial Intelligence Unit (FIU-IND / FinCEN) within the mandated regulatory timeframe.**
- 3. **Relationship Termination:** Upon confirmation of the STR submission, initiate the formal account closure process. Ensure strict adherence to anti-tipping-off regulations; no communication regarding this investigation or the STR filing shall be disclosed to the customer.**
- 4. **Law Enforcement Escalation:** Retain all transaction logs, IP addresses, device fingerprints, and KYC documentation for immediate retrieval upon receipt of a law enforcement subpoena or formal information request.**

LEGAL & REGULATORY NOTICE: This Suspicious Transaction Report contains confidential compliance analysis. Unauthorized dissemination is strictly prohibited under applicable Anti-Money Laundering legislation.